

Information sheet "Payout UBS vested benefits account"

Tax considerations

Pursuant to the Swiss federal law on withholding tax, art. 8 para. 1 lit. a), when payouts such as cash payouts in excess of CHF 5,000 are made by the Vested Benefits Foundation of UBS AG, the amounts are subject to either taxation or disclosure.

If the pension account holder lives abroad or will leave Switzerland within a short time, a withholding taxes shall be levied. If the Foundation has no consistent information about the domicile (e.g., P.O. Box or c/o-address) a withholding tax will be levied as well.

The Vested Benefits Foundation shall deduct these taxes directly from the UBS vested benefits account before paying out the pension benefits. The transferred net amount may therefore differ from the originally requested amount.

If the person can prove, before the payout, that the taxes on the capital concerned have already been paid in Switzerland, no withholding tax will be applied.

Blocked amounts resulting from pension fund buy-ins

If any purchases to a pension fund have been made, art. 79b para. 3 of the Swiss Federal Law on Occupational Retirement, Survivors' and Disability Pension Plans (LPP/BVG) states that the resultant benefits may not be withdrawn as a lump sum for the three years following the buy-in.

Furthermore, according to the Federal Supreme Court, the request of payout for a period of three years following the purchase may result in a tax deduction rejection or even in a tax deduction reversal.

Definitive emigration from Switzerland

Since 1 June 2007, the agreement on the free movement of persons between Switzerland and the EU has placed restrictions on the the withdrawal as a result of emigration from Switzerland. This applies to pension account holders who move definitively to an EU country or an EFTA country (specifically Iceland and Norway).

As a result of this agreement, pension account holders may only request the mandatory component of their vested pension benefits if they prove that they are not subject to mandatory social security obligations in the destination country.

The application form for this certificate can be obtained as follows:

sfbvg.ch: cash payment after emigration or by postal mail: LOB Guarantee Fund, Eigerplatz 2, P.O. Box 1023, 3000 Bern 14. It should be noted that this clarification process could take six months or more.

The written confirmation from the LOB Guarantee Fund (date of issue cannot be older than 3 months) must be delivered to the Vested Benefits Foundation of UBS AG. If this confirmation is not submitted, only the non-mandatory part of LOB assets can be withdrawn.

If an existing mandatory social security obligation exists in an EU or EFTA state, withdrawal of the obligatory part is possible five years prior to reaching the legal AHV retirement age at the earliest.

Reaching age

In accordance with Art. 16, para. 1 OLP/FZV the pension assets can be paid out to the pension account holder at the earliest five years before attainment of normal AVS/AHV retirement age.

Without giving reasons the pension account holder can also maintain the vested benefits account to the latest five years after attainment of AVS/AHV retirement age and then ask for the payout.

The vested benefits are no longer subject to interest accrual having the pension account holders reached this limit of age.

Regulatory and legal provisions apply.